



Remembering Alan Greenspan

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First Impressions

Alan Greenspan, who passed away today at the age of 100, was one of the most consequential figures in the history of American economic policy—and someone I had the privilege of working with for more than two decades, first as a colleague at the Federal Reserve and later as a friend and adviser at Deutsche Bank. His passion for economic analysis, his respect for data, and his willingness to challenge conventional wisdom profoundly influenced my own approach to economics and policy.

I joined the Federal Reserve staff in September 1973 as a newly minted PhD in Economics from the University of Michigan—four years after my new Fed colleague Don Kohn—and served through the chairmanships of Arthur Burns, G. William Miller, and Paul Volcker. When Greenspan arrived in August 1987, I was in mid-level management in the Board’s International Finance economic research staff. I still remember the day he arrived. He toured the building with my colleague Ted Truman, meeting many members of the staff, and I had the opportunity to shake his hand and welcome him personally. It was a small gesture, but a characteristic one: Greenspan appreciated the value of his staff and moved quickly to engage them.

A Remarkable User of Expertise

That engagement was immediately substantive. Greenspan had ambitious ideas about how to use the Fed’s deep reservoir of talent. He was fascinated by data—not only the headline numbers but obscure series and unusual relationships that others overlooked.

Much of my early Fed career predated the Internet. Yet the institution possessed an extraordinary asset: specialists in virtually every corner of the economy. One could simply pick up the phone and speak with an expert on housing, productivity, corporate profits, or almost any topic imaginable. It was, in effect, a pre-Internet web of distributed expertise. Greenspan understood this instinctively and made exceptional use of it.

Don Kohn, in his remembrance published today at Brookings, recalled that Greenspan arrived “like a kid in a candy store,” eager to tap the knowledge embedded throughout the organization. That description captured him perfectly.

Models, Markets, and Instinct

Greenspan brought macroeconomic instincts somewhat different from those of most Fed staff. I had been trained in the neo-Keynesian tradition, while Alan placed greater faith in markets and the informational efficiency of prices.

Having spent much of my own career modeling trade flows and global economic interactions, I came to appreciate both the power and limitations of formal econometric models. Greenspan shared my strong support for free trade, but he was less inclined than many Fed economists to rely heavily on model-based

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forecasts. Instead, he searched for revealing relationships in data and drew heavily on information gathered from his extensive network of business leaders and industry contacts.

Over the years I occasionally worked on speeches for him, mostly in an editorial capacity, since he inevitably rewrote drafts into precisely what he wanted to say.

“Irrational Exuberance”

One memorable episode involved the now-famous phrase “irrational exuberance” in a speech prepared for the American Enterprise Institute in December 1996. Several staff members, myself included, were skeptical. Greenspan insisted. History vindicated him.

Years later I asked him the secret of his remarkable longevity and productivity. His answer surprised me: soaking in a hot tub. The same ritual that, as he later recalled, had inspired the concept of “irrational exuberance” sustained him through his tenth decade.

The Productivity Revolution

The 1990s were, in many ways, a magical time for the Federal Reserve. Greenspan earned his reputation as the “Maestro”—the title Bob Woodward gave him in his 2000 book—in large part because of his success in steering the economy through the long expansion of that decade.

By the mid-1990s, many policymakers worried that growth was running beyond the economy’s capacity and that inflation pressures were building. Greenspan disagreed. He became convinced that information technology and the computerization of business processes were producing a genuine acceleration in productivity growth, allowing the economy to sustain faster expansion without inflation.

Greenspan’s recognition of the productivity surge before most others demonstrated his ability to identify anomalies that did not fit conventional wisdom and pursue them to their logical conclusion. He was right. The economy grew faster, and inflation remained subdued. My good friend Steve Landefeld, former Director of the Bureau of Economic Analysis, well remembers how Alan, one of their most ardent supporters, frequently challenged him to expand their measures of sustainable GDP growth.

Communication and Transparency

Greenspan believed that some ambiguity served monetary policy well. He thought the central bank retained greater flexibility when markets focused on incoming economic data rather than endlessly parsing every word uttered by policymakers.

Nevertheless, under his leadership the Fed began its gradual move toward greater transparency, introducing post-meeting statements and the policy bias. Ben Bernanke later accelerated that transition through press conferences, forward guidance, and eventually the dot plot.

Bringing Greenspan to Deutsche Bank

Greenspan was more than a mentor to me; he was an inspiration who demonstrated the importance of rigorous analysis and intellectual curiosity.

He was gracious enough to acknowledge our relationship in his own way. When he inscribed a copy of his memoir, *The Age of Turbulence*, he referred to me as a mentor—a generous inversion that I treasure, even though I would reverse the description.



After leaving the Fed in 1999 and joining Deutsche Bank, I became convinced that Alan would make a valuable adviser to the firm. With David Folkerts-Landau's blessing, I approached him after his retirement in January 2006, but he wanted first to finish his book. Months later, after learning he had accepted a position with PIMCO, I reminded him of our earlier conversation. He agreed to join Deutsche Bank as a senior adviser for two years, beginning in 2007.

Around the World with the Maestro

Alan saw clients globally for Deutsche Bank, and the attraction was exactly what the firm had hoped when he joined as senior adviser: access to his strategic insight and his extraordinary perspective on markets, monetary policy, and risk. Clients everywhere relished hearing the Maestro's latest thinking—not simply because he had once chaired the Federal Reserve, but because he could translate complex economic developments into practical judgments that sophisticated market participants could use.

Intellectual Honesty

Alan inspired me in many ways, though we had our differences. I was uncomfortable with his early confidence that private institutions could regulate themselves more effectively than government authorities—a view that events eventually proved overly optimistic.

Yet those disagreements never diminished my admiration for him. What mattered most was that Alan continued to interrogate his own views when events challenged them. Testifying before Congress in October 2008, Greenspan acknowledged that he had “made a mistake” in presuming that the self-interest of banks and other institutions would be sufficient to protect their shareholders. That willingness to confront error openly, rather than evade it or rationalize it away, was one of the clearest expressions of his intellectual honesty—and one of the qualities I most respected in him.

His Living Legacy

What living legacy does Greenspan leave at the Federal Reserve?

Part of the answer may be found in Kevin Warsh, who was sworn in as Fed chairman just one month ago. At his White House ceremony, Warsh paid explicit tribute: “Chairman Greenspan was the first to tell me and show me what this role demands.”

Warsh's instincts resemble Greenspan's in two important respects. First, just as Greenspan resisted premature tightening in the 1990s because he believed information technology was driving a productivity revolution, Warsh has argued that artificial intelligence could prove a significant disinflationary force. In both cases, the judgment rested on perceiving structural change before the data fully confirmed it.

Second, Greenspan's preference for brevity when discussing the outlook for monetary policy appears to have found an echo in Warsh's early approach. In his first press conference, he reduced the Fed's post-meeting statement from 341 words to 132. As my Deutsche Bank colleague Matthew Luzzetti observed, that move reverses a decades-long trend toward ever greater transparency.

Whether Warsh's views on AI prove as well founded as Greenspan's insights about information technology will be closely watched. Inflation today is stickier, geopolitical risks are greater, and the enormous investment required to build AI infrastructure may itself prove inflationary in the near term.



“We Had Fun”

Don Kohn concluded his remembrance by recalling Greenspan summing up their years together with a simple observation: “We had fun, didn’t we, Don?”

Yes, Alan—we had fun.

And that spirit of curiosity, intellectual excitement, and joy in understanding how the world works enriched economic policymaking in the United States and around the globe. It certainly enriched my own life and career, and strengthened my desire to remain active in professional economics. For that, and for much else, I will always be grateful.



Appendix 1

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